Chapter Five (a): "Conventional Financial System"

Mosfiqur Rahman
(Lecturer of Finance & Economics)

❖ Concept financial system:

A financial system (within the scope of finance) is a system that allows the exchange of funds between lenders, investors, and borrowers. Financial systems operate at national, global, and firm-specific levels. They consist of complex, closely related services, markets, and institutions intended to provide an efficient and regular linkage between investors and depositors.

❖ Importance:

- Cheating efferent financial manager.
- Creating efficient capital market.
- Flourishment of Entrepreneur
- Industrialization.
- Employment.
- modern technique in Project Evaluation.

❖ Objectives of financial system:

A stable financial system characterized by a high level of confidence with efficient markets that meet household and business needs for financial services while maintaining a high level of consumer protection.

Central government financial management is to be conducted efficiently and costs of the national debt are to be minimized in the long term while taking account of risks.

- Risk Management.
- Intermediation.
- Mobilization of savings.
- Price discovery.
- Capital formation.
- Employment creation.
- Facilitating payments.
- Liquidity.
- Monetary policy transmission.
- Economic stability.
- Financial inclusion.
- Financial advisory.
- It promotes savings and investment.
- Resource allocation.

❖ Financial assets:

A financial asset is a non-physical asset whose value is derived from a contractual claim, such as bank deposits, bonds, and stocks. Financial assets are usually more liquid than other tangible assets, such as commodities or real estate, and may be traded on financial markets.

Common Examples of Financial Assets:

Stocks (Equities):
Represent ownership in a company.

Bonds:
Represent loans to a government or corporation, promising future interest payments and principal repayment.

Bank Deposits:
Money held in a bank account, which serves as a store of value and a medium of exchange.

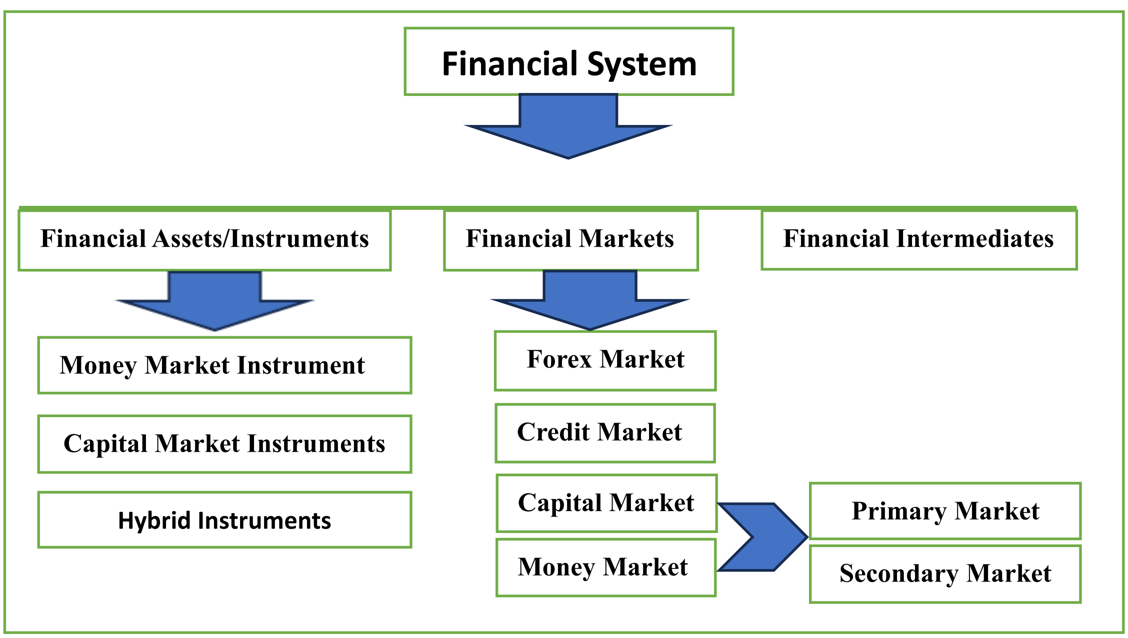
Mutual Funds & ETFs:
Pooled investments managed by professionals, holding a diversified portfolio of stocks and/or bonds.

Derivatives:
Financial contracts, such as options and futures, whose value is derived from an underlying asset.

Loans:
Amounts lent to individuals or businesses.

Accounts Receivable:
Money owed to a business by customers for goods or services already delivered.

❖ Structure of financial system:



Chapter Five (b): “Islamic Financial System”

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(Lecturer of Finance & Economics)

❖ Concept of Islamic Financial System:

The Islamic financial system is a financial framework that operates in accordance with the principles of Islamic law (Shariah). Its primary objective is not just profit maximization but also the promotion of social justice, equity, and economic well-being for the entire society.

At its core, it is an asset-backed and equity-based system. Money is not considered a commodity that can be traded at a profit (i.e., interest); instead, it is a medium of exchange, a unit of account, and a store of value. Profit is legitimate only when it is generated through legitimate trade and investment in real assets, involving the assumption of risk.

The system prohibits activities deemed harmful to society, such as dealing in alcohol, gambling, pornography, and excessive uncertainty (gharar). It aims to create a symbiotic relationship between the financier and the entrepreneur, where both share in the profits and losses of a venture, fostering a more equitable distribution of wealth.

❖ Differences with conventional financial system:

This is the most practical way to understand Islamic finance. The differences are fundamental and philosophical.

NO.	Aspect	Islamic Financial System	Conventional Financial System
1	**Basis of Operation**	Shariah Law: Guided by the Quran, Sunnah, and scholarly consensus.	Man-Made Law: Governed by secular laws and regulations.
2	**Role of Money**	Medium of Exchange: Money is not a commodity. It cannot be rented out. Profit must be earned through trade of assets or sharing of risk.	Commodity: Money is a commodity that can be sold for a price (interest). Time value of money is a core concept.
3	**Interest (Riba)**	Strictly Prohibited (Riba). Earning a fixed, predetermined return on a loan is forbidden.	Core Element. Interest is the price of credit and the primary source of income for lenders.
4	**Risk & Reward Sharing**	Mandatory. The provider of capital and the entrepreneur share business risks. Return is tied to the actual performance of the underlying asset.	Argely Absent. The lender is guaranteed a fixed return (interest) regardless of the borrower's business success or failure. Risk is primarily borne by the borrower.
5	**Asset-Backing**	Essential. Every financial transaction must be linked to a tangible, identifiable underlying asset (e.g., a property, machinery, commodities).	Not Essential. Money can be lent for any purpose without being directly tied to a specific asset (e.g., unsecured personal loans).
6	**Ethical Screening**	Mandatory. Investments are screened. Businesses involved in prohibited activities (alcohol, gambling, pork, etc.) are excluded.	Optional. Primarily driven by risk-return metrics. Ethical investing (ESG) is a choice, not a requirement.
7	**Gambling & Speculation**	Prohibited (Gharar and Maysir). Excessive uncertainty, deception, and pure speculation are forbidden.	Permitted. Speculative activities like short-selling, derivatives trading, and betting on market movements are common.
8	**Contractual Nature**	Often a partnership like, Mudarabah, Musharakah or a trade-based contract (like Murabaha, Ijara).	Primarily a debtor-creditor relationship.

❖ Principles of Islamic Finance system:

The basic framework for an Islamic financial system is a set of rules and laws, collectively referred to as Shariah, governing economic, social, political and cultural aspects of Islamic societies. Shariah originates from the rules dictated by the Quran and its practices, and explanations rendered (more commonly known as Sunnah) by the Prophet Muhammad. Further elaboration of the rules is provided by scholars in Islamic jurisprudence within the framework of the Quran and Sunnah. The basic principles of an Islamic financial system can be summarized as follows:

1. **Prohibition of interest:** Prohibition of Riba, a term literally meaning "an excess" and interpreted as "any unjustifiable increase of capital whether in loans or sales" is the central tenet of the system. More precisely, any positive, fixed, predetermined rate tied to the maturity and the amount of principal (i.e.) guaranteed regardless of the performance of the investment) is considered Riba and is prohibited. The general consensus among Islamic scholars is that Riba covers not only usury but also the charging of "interest" as widely practiced.

2. **This prohibition** is based on arguments of social justice, equality, and property rights. Islam encourages the earning of profits but forbids the charging of interest because profits, determined ex post, symbolize successful entrepreneurship and creation of additional wealth whereas interest, determined ex ante, is a cost that is accrued irrespective off the outcome of business operations and may not create wealth if there are business losses. Social justice demands that borrowers and lenders share rewards s well as losses in an equitable fashion and that the process of wealth accumulation and distribution in the economy be fair and representative of true productivity

3. **Risk sharing:** Because interest is prohibited, suppliers of funds become investors instead of creditors. The provider of financial capital and the entrepreneur share business risks in return for shares of the profits.

4. **Money as "Potential" Capital:** Money is treated as "Potential" capital -that is, it becomes actual capital only when it joins hands with other resources to undertake a productive activity. Islam recognizes the time value of money, but only when it acts as capital, not when it is "Potential" capital.

5. **Prohibition of speculative behavior**: An Islamic financial system discourages hoarding and prohibits transactions featuring extreme uncertainties, gambling, and risks

6. **Sanctity of contracts:** Islam upholds contractual obligations and the disclosure of information as a sacred duty. This feature is intended to reduce the risk of asymmetric information and moral hazard.

7. **Shariah approved activities:** Only those business activities that do not violate the rules of Shariah qualify for investment. For example, any investment in businesses dealing with alcohol, gambling, and casinos would be prohibited.

❖ Requirement for a Successful Financial System in Islam:

A successful Islamic financial system needs strong Shariah compliance, ethical standards, and modern financial infrastructure. The key requirements are:

- **Shariah Governance:**
  Strong Shariah Supervisory Boards to ensure compliance in all transactions.
- **Legal & Regulatory Framework:**
  Supportive laws, policies, and central bank guidelines for smooth operation.
- **Qualified Human Resources:**
  Trained experts with knowledge of both Islamic jurisprudence and modern finance.
- **Public Awareness:**
  Education and awareness campaigns to build trust and acceptance among people.
- **Innovative Financial Products:**
  Competitive, Shariah-compliant alternatives to conventional products.
- **Institutional Development:**
  Strong Islamic banks, takaful (insurance), sukuk (bonds), and investment firms.
- **Ethics & Transparency:**
  Fair dealing, honesty, and justice in contracts and operations.
- **Social Justice Mechanisms:**
  Integration of zakat, waqf, and charitable funds for equitable wealth distribution.
- **International Cooperation:**
  Collaboration with global Islamic financial institutions for growth.
- **Stability & Risk Management:**
  Efficient management of risks to ensure long-term sustainability.

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Chapter Six: "Money Market and Capital Market in Conventional and Islamic perspectives"

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❖ What is the Money Market?

The money market refers to trading in very short-term debt investments. At the wholesale level, it involves large-volume trades between institutions and traders. At the retail level, it includes money market mutual funds bought by individual investors and money market accounts opened by bank customers.

❖ Key Takeaways:

The money market involves the purchase and sale of large volumes of very short-term debt products, such as overnight reserves or commercial paper.
An individual may invest in the money market by purchasing a money market mutual fund, buying a Treasury bill, or opening a money market account at a bank.

❖ Understanding the Money:

Market The money market is one of the pillars of the global financial system. It involves overnight swaps of vast amounts of money between banks and the other countries. The majority of money market transactions are wholesale transactions that take place between financial institutions and companies.

❖ Who are the participants in the Money Market?

- All commercial banks
- CB (Central bank)
- Financial Organizations
- Government
- Individuals

Money Market Instruments:

- Deposit
- Treasury bills
- Short term loan
- Short term bond
- Commercial paper
- Repo

Deposit:

Most certificates of deposit (CDs) are not strictly money market funds because they are sold with terms of up to 10 years. However, CDs with terms as short as three months to six months are available.

Commercial Paper:

The commercial paper market is for buying and selling loans for corporations in need of a short-term cash infusion. Only highly creditworthy companies participate, so the risks are low.

Bankers Acceptances:

The banker's acceptance is a short-term loan that is guaranteed by a bank. Used extensively in foreign trade, a banker's acceptance is like a post-dated check and serves as a guarantee that an importer can pay for the goods. There is a secondary market for buying and selling banker's acceptances at a discount.

Repos:

The repo, or repurchase agreement (repo), is part of the overnight lending money market. Treasury bills or other government securities are sold to another party with an agreement to repurchase them at a set price on a set date.

❖ Concept of Capital Market:

Capital markets are markets for buying and selling equity and debt instruments. Capital markets channel savings and investment between suppliers of capital such as retail investors and institutional investors, and users of capital like businesses, government and individuals. Capital markets are vital to the functioning of an economy, since capital is a critical component for generating economic output. Capital markets include primary markets, where new stock and bond issues are sold to investors, and secondary markets, which trade existing securities.

❖ What are the Types of Capital Market?

The types of capital market – primary and secondary are essential to understand for Commerce students. Additionally, there are other divisions of capital market based on the traded security type - bond market and the stock market.

Herein, we will focus on the former division of capital market types - primary and secondary markets.

➢ **Primary Market:**

Herein, the trading takes place for new securities. Companies go public for the first time in this market that allows entities outside the locus of an organization to purchase their shares. This phenomenon is called Initial Public Offering or IPO.

➢ **Secondary Market:**

Between the types of capital markets, it deals with securities that have already been traded in the primary market. New York Stock Exchange (NYSE), Bombay Stock Exchange (BSE), National Stock Exchange (NSE), etc. are secondary markets.

To understand these clearly, students should grow an understanding of the types of capital in business as well.

For more information on capital markets, look into our online learning programs. They consist of high-quality study materials that are drafted by our subject experts. Besides they are written in lucid language to facilitate a clear understanding of the same. So, avail of our study materials and also live online classes now and enhance your academic experience.

❖ What are the Different Instruments of Capital Market?

The types of capital market instruments are broadly classified into two types –

1. Equity security

A. Equity shares:

These shares are the prime source of finance for a public limited or joint-stock company. When individuals or institutions purchase them, shareholders have the right to vote and also benefit from dividends when such organization makes profits. Shareholders, in such cases, are regarded as the owners of a company since they hold its shares.

B. Preference shares:

These are the secondary sources of finance for a public limited company. As the name suggests, holders of such shares enjoy exclusive rights or preferential treatment by that company in specific aspects. They are likely to receive their dividend before equity shareholders. However, they do not have any voting rights typically.

2. Debt security

A. Bonds:

It is a fixed income instrument, primarily issued by sovereign and state governments, municipalities, and even companies to finance infrastructural development and other types of projects. It can be viewed as a loaning instrument, where a bond's issuer is the borrower.

Bondholders are considered as creditors concerning such an entity and are entitled to periodic interest payment. Furthermore, bonds carry a fixed lock-in period. Therefore, issuers of bonds are mandated to repay the principal amount on the maturity date to bondholders.

B. Debentures:

Unlike bonds, debentures are unsecured investment options. Consequently, they are not backed by any asset or collateral. Here, lending is entirely based on mutual trust and, herein, investors act as potential creditors of an issuing institution or company.

All these four instruments are parts of the capital market. Since each is unique and has distinguishing features, they are useful in different ways for a company. Therefore, it is crucial to understand the different type of capital market instruments so that you can acknowledge their purposes.

❖ What are the main instruments in Islamic capital market?

Common Shariah principles that are used in Islamic debt instruments include murabahah (trade with mark up or cost plus), ijarah (lease financing), bai` al-Salam (advance purchase), istisna` (purchase order) and others.

Structure of the Financial Market:

- Money Market
- Capital Market

Other types of market are:

- Future Market
- Option Market
- Spot Market

Futures are derivative financial contracts that obligate the parties to transact an asset at a predetermined future date and price. A futures market is an auction market in which participants buy and sell commodity and futures contracts for delivery on a specified future date.

Buying and selling options are done on the options market, which trades contracts based on securities. Buying an option that allows you to buy shares at a later time is called a "call option," whereas buying an option that allows you to sell shares at a later time is called a "put option.

The spot market is where financial instruments, such as commodities, currencies, and securities, are traded for immediate delivery.

❖ Difference between Conventional and Islamic money market:

Conventional	Islamic
Issues debt contract for placement of fund	Apply Shariah contracts i.e mudharabah, murabahah and wakalah
Approved by respective regulators	Approved by Shariah Committee and respective regulators
Structured based on debt only	Structure based on assets, equity and debt based
Conventional investor	Conventional and Islamic investors

❖ Problems of Money Market:

- **Weak Structure of Stock & Exchange:** The money market often suffers from an underdeveloped structure, making transactions inefficient.
- **Short Supply of Instruments:** Limited availability of treasury bills, commercial papers, and short-term debentures restricts smooth operation.

- **Excessive Dependence on Brokers:** Intermediaries often dominate the system, causing inefficiency and increasing transaction costs.
- **Weak Monitoring System:** Lack of strict supervision and regulation leads to corruption, malpractice, and misuse of funds.
- **Lack of Data / Slow Flow of Information:** Delays in data and information flow create uncertainty and mismanagement.
- **Shortage of Money Supply:** The money market frequently faces liquidity shortages, especially in developing economies, making it difficult to meet short-term credit needs.

❖ Prospects of Money Market

- **Generalized System Development:** With modernization and reforms, money markets can become more structured and efficient.
- **Effective Market Control:** A strong money market helps central banks regulate interest rates, inflation, and liquidity.
- **Support for Development Activities:** A well-functioning money market can ensure smooth financing for trade, industry, and economic growth.
- **Stability in the Financial System:** By providing short-term liquidity, the money market reduces financial crises.
- **Scope for Islamic Alternatives:** Increasing use of Islamic instruments (like Sukuk, Murabaha, and Mudarabah) opens new growth opportunities in Muslim countries.

Chapter Seven: "Monetary policy in Capitalism and Monetary Policy in Islam"

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❖ Definition of Monetary Policy:

Monetary policy is the policy adopted by the government (through the Ministry of Finance and Planning) or the central bank to regulate and control the supply of money, credit, and liquidity in the economy in order to achieve specific economic objectives such as price stability, employment generation, and sustainable growth.

❖ Types of Monetary Policy

1. Expansionary Monetary Policy:

- Adopted when the central bank wants to increase the supply of money and credit in the economy.
- Its purpose is to raise income, production, employment, investment, and aggregate demand.
- Usually applied during recession or unemployment.

2. Contractionary Monetary Policy:

- Adopted when the central bank wants to decrease the supply of money and credit in the economy.
- Its purpose is to control inflation, stabilize prices, and reduce excess demand.

3. Neutral Monetary Policy:

- A situation where the central bank takes no major action to increase or decrease the money supply.
- It is followed when the economy is already at full employment and stable condition, meaning there is no need for expansion or contraction.

❖ Objectives of Monetary Policy in Islam:

1.Elimination of Riba (Interest):

- Ensure that all financial transactions are free from interest, preventing exploitation.

2.Promotion of Justice and Fairness:

- Ensure equitable distribution of wealth among society and prevent concentration of wealth in few hands.

3.Stability of Prices and Currency:

- Maintain price stability by linking money supply to real goods and economic activity.

4.Encouragement of Real Investment:

- ➢ Promote financing of productive sectors (industry, agriculture, SMEs) rather than speculative activities.

5.Wealth Circulation:

- ➢ Use instruments like zakat, risk-sharing, and profit-sharing to circulate wealth and reduce poverty.

6.Economic Growth with Social Welfare:

- ➢ Foster growth that benefits the entire society, not just the wealthy or financial institutions.

7.Shari 'ah Compliance and Ethical Finance:

- ➢ Ensure all monetary and credit operations adhere to Islamic principles, avoiding gharar (uncertainty) and maysir (gambling).

❖ Principles of Islamic Monetary Policy:

- ➢ **Prohibition of Riba (interest):** Money cannot generate money; interest-based transactions are haram.
- ➢ **Money as medium of exchange, not a commodity:** Money must be linked to real assets and production.
- ➢ **Profit-loss sharing:** Transactions should be based on partnership (Mudarabah, Musharakah), ensuring risk-sharing.
- ➢ **Wealth circulation:** Prevent hoarding; ensure Zakat, Sadaqah, and Waqf circulation.
- ➢ **Stability of currency:** Preserve purchasing power and protect people from inflation/instability.
- ➢ **Real sector orientation:** Monetary policy should promote trade, investment, and production—not speculation or gambling.
- ➢ **Justice and social welfare:** Economic activities must ensure fairness, equity, and alignment with Maqasid al-Shariah.
- ➢ **Elimination of exploitation:** Prevent unjust gains and protect weaker sections of society

❖ Instruments of Monetary Policy in Islam:

Islamic monetary policy avoids interest-based tools and instead uses Shari 'ah-compliant mechanisms. The major instruments are:

1.Target Growth in Money Supply:

➢ Central authority sets a target for money supply consistent with economic growth and stability, ensuring money is backed by real goods.

2.Statutory Reserve Requirements:

➢ Islamic banks are required to keep a certain percentage of deposits as reserve with the central bank (like CRR/SLR) but without interest.

3.Credit Ceiling:

➢ Fixing an upper limit on the amount of credit creation by banks to prevent excessive money supply and inflation.

4.Allocation of Credit:

➢ Directing funds to priority sectors (e.g., agriculture, SMEs, halal industries) while discouraging financing of haram sectors.

5.Selective Credit Control:

➢ Controlling the use of credit for productive, socially beneficial purposes; restricting speculative and unproductive loans.

6.Moral Suasion:

➢ Central bank persuades Islamic banks to follow guidelines, ethical standards, and Shari ‘ah principles voluntarily.

7.Fixing Minimum/Maximum Profit Ratios:

➢ Central bank sets profit-sharing ratios for Islamic banks in Mudarabah and Musharakah ventures, ensuring fairness.

8.Designation of Sectors for Investment:

➢ Defining permissible fields of investment and partnerships in line with Shari ‘ah, fixing minimum expected profit rates.

9.Profit Margin Control in Installment/Hire-Purchase Transactions:

➢ Setting minimum and maximum profit margins proportional to the cost price in Murabaha (cost-plus) and installment sales.

10. Commissions and Service Charges:

➢ Regulating the types, amounts, and limits of commissions, service charges, and fees taken by banks to prevent exploitation.

11. Bonuses and Advertisements:

➢ Guidelines on types and amounts of customer bonuses, as well as ethical standards for advertisements by banks.

12. Limits on Joint Ventures and Credit Transactions:

➢ Determining minimum/maximum ratios for joint ventures, Mudarabah, installment transactions, forward deals, and fixing maximum exposure per customer.

❖ Problems of Monetary Policy:

Monetary policy faces several challenges both in conventional and Islamic systems. Major problems are:

1. **Unsystematic Management:**
   Lack of proper planning and coordination makes monetary policy ineffective.
2. **Weak Control of Central Bank:**
   In many developing countries, central banks cannot fully control money supply due to political pressure, weak institutions, and external dependence.

3. **Weak Economic Structure:**
   If the economy lacks strong financial markets and productive sectors, monetary policy cannot function effectively.

4. **Problem of Credit Control:**
   Inability to direct credit properly; excessive or insufficient credit harms growth and stability.

5. **Black Money / Unrecorded Income:**
   Widespread use of unaccounted money reduces the effectiveness of monetary measures.

6. **Failure in Managing Liquidity:**
   Difficulty in maintaining the right balance of liquidity in the system, leading to inflation or stagnation.

7. **Coordination Problems:**
   Lack of coordination between monetary policy and fiscal policy reduces overall effectiveness.

8. **Problem of Setting Value of Money:**
   Maintaining stable currency value is difficult due to inflation, exchange rate fluctuations, and external shocks

❖ Policy Implications of Monetary Policy in Islam:

1. **Promotion of Justice and Fairness:**
   - ➢ Prohibition of Riba (interest) ensures borrowers are not exploited, and lenders share risk fairly.
2. **Stability in Real Sector:**
   - ➢ Linking finance with real assets and productive investments prevents artificial speculation and ensures genuine economic growth.
3. **Wealth Circulation:**
   - ➢ Instruments like zakat, profit-sharing, and risk-sharing encourage distribution of wealth, reducing inequality.
4. **Discouragement of Speculation:**
   - ➢ Monetary policy prevents excessive uncertainty (gharar) and gambling (maysir), stabilizing prices.
5. **Encouragement of Productive Investment:**
   - ➢ Directing credit to halal sectors like agriculture, industry, and SMEs promotes long-term development.
6. **Sustainable Economic Development:**
   - ➢ Focus on asset-backed financing and risk-sharing supports steady growth rather than short-term profits.
7. **Ethical and Shari 'ah-Compliant Financial System:**
   - ➢ Ensures all banking and credit activities follow Islamic principles, creating trust and stability

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Chapter Eight: "Central Banking in an Islamic Framework"

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❖ Introduction:

The central bank has the sole authority to issue money (currency) and the responsibility to regulate the banking system in order to secure the value of money and realize the other objectives of monetary policy. Money serves as the medium of exchange and the commonly accepted means of payment, and as such as a measure of value.

❖ Central bank definition:

Central bank, reserve bank, or monetary authority is the institution that manages the currency, money supply, and interest rates of a state or formal monetary union, and oversees their commercial banking system.

❖ Functions of the Central Bank:

Work as a banker of banking System:
The central bank should be the pivot of the Islamic Banking System, because only through its conscientious and creative efforts and eternal vigilance can the Islamic money and banking system function properly and achieve its objectives. It should be an autonomous government institution responsible for the realization of the socio-economic goals of the Islamic economy in the sphere of money and banking.

Issue of Currency:
Like all central banks, the central bank in an Islamic economy should be responsible for the issue of currency and, in coordination with the government, for its internal and external stability. It should act as banker to the government and the member banks

Stabilization of the Value of Money:
Stabilization of the real value of money should be an important function of the central bank in order to realize the healthy sustainable growth of the Islamic economy and to ensure socio-economic justice. For this purpose, it would have to keep a close watch on money supply, to ensure that the growth in money is not out of step with that in real output.

Implementation of Monetary Policy:
The central bank should be the primary institution responsible for implementing the country's monetary policy. For this purpose, it should use the instruments and methods that are not in conflict with the teachings of the Islamic *Shariah*. Further, since the central bank cannot realize the goal of monetary stability without cooperation from the government, a harmonious fiscal - budgetary policy would be indispensable.

Promotion, Regulation and Supervision:

The central bank will also have to play a positive role in the promotion, regulation and supervision of all financial institutions with the objective of helping them and making them healthy and strong. For this purpose, it may have to review all existing laws and amend or reconstitute them in the light of Islamic teachings. The reformed banking legislation should reflect the different needs of the Islamic financial system.

Ensure health and Development of Public Interest:

The central bank should not confine its regulatory role merely to the commercial banks. Its vigilance and assistance must envelop all other financial institutions to ensure their health and development and to safeguard the public interest. If some other government agencies are responsible for promoting and regulating non-bank financial and auxiliary institutions, then there should be proper coordination between the Central bank and other regulatory authorities to bring on harmony in their promotional and regulatory functions.

Lender of the Last Resort:

As in conventional banking, the Islamic central bank would also have to act as the lender of last resort to ensure sufficient liquidity and to sustain the banks in case of liquidity or solvency crisis.

Current Account and Clearing House Facility:

Islamic banks may be allowed to maintain current accounts with the central bank and to participate in the bank's clearing house operations. If the current account is occasionally overdrawn, the central bank may provide this facility without any charge. Alternatively, such facility may be extended on the basis of sharing of the profits of the bank.

Regulation and Supervision of Islamic Banks:

Islamic banks may be subjected to regulations and controls by the Central bank in respect of (a) permission to establish banks and to open new branches; (b) minimum share capital; (c) the terms governing the constitution of Boards of Directors and appointment of Chief Executives and auditors; (d) tariffs for banking services; (e) measures regulating foreign exchange transactions; (f) submission of periodical statements and operational data to the central bank and (g) Compliance with the working hours.

Inspection of Banks:

Islamic banks may be subjected to periodic inspection by the central bank to ensure their operational soundness. The central bank personnel may be adequately trained in *Shariah*-based operations of Islamic Banks. Detailed guidelines for inspection of the Islamic banks should be prepared and set by the central bank, as it should carry out research and training of personnel.

❖ Principles of Islamic Central Banking:

The principles of central banking revolve around maintaining financial and monetary stability by managing the money supply, acting as a lender of last resort, overseeing the financial system, and serving as a fiscal agent for the government. Key pillars include monetary policy implementation through interest rate and money supply control, ensuring financial system stability, currency issuance, effective banking supervision, and operating robust payment systems.

Central banks also operate with a degree of independence, transparency, and accountability to foster public trust and credibility

❖ Core Principles & Responsibilities:

- **Monetary Policy:**
  Central banks control interest rates and the money supply to manage inflation, prevent price fluctuations, and support economic stability.

- **Lender of Last Resort:**
  They provide liquidity to commercial banks during times of crisis or economic turmoil to prevent systemic collapse.

- **Financial Stability:**
  This involves regulating and supervising commercial banks to ensure their soundness and stability.

- **Currency Issuance:**
  The central bank has the exclusive right to issue banknotes and coins, providing trusted money for public use.

- **Payment Systems Management:**
  Central banks manage or oversee the national payments system and interbank clearing systems to ensure efficiency and safety.

- **Government's Fiscal Agent:**
  They act as the government's bank, managing government accounts and purchasing government securities.

- **Reserve Management:**
  They manage a country's foreign exchange reserves and gold.

❖ Operational Principles:

- **Central Bank Independence:**
  To ensure actions are taken in the national interest, central banks are generally independent of direct political influence, though they often work closely with governments.

- **Transparency and Accountability:**
  Central banks should clearly define and publicly disclose their objectives and policies, particularly those related to financial stability and payment systems.

- **Credibility:**
  Building and maintaining public trust is a vital component, achieved through consistent, well-communicated policies and effective operations.

❖ Credit Control methods of CB:

These measures directly affect the quantity of money supply in the economy:

1. **Open market operations:**

This is the most frequently used instrument or the routine practice to control the money supply. However, its effectiveness depends on the perfection of the capital and money markets. The central bank sells government securities (called treasury bills) to the general public if a contractionary policy is desired. In contrast, it buys back these bonds and diffuses extra money into the economy if an expansionary policy is to follow. This is the medium of government borrowing at the market rate of interest.

2. **The bank rate policy:**

The rate of interest at which the central bank offers loans to commercial banks or discounts their bills is called 'Bank Rate' and the rate at which the commercial banks extend loans to the general public is called the 'Market Rate'. A change in the bank rate is followed by a corresponding change in the market rate. Thus, it is another powerful instrument of credit control; however, it is rarely used.

3. **Variation in Capital Reserves:**

All commercial Banks are required (by law) to keep a fixed proportion of deposits as reserves with the central banks. This is known as a reserve ratio; the power of the commercial banks to extend loans is reduced. This instrument is also rarely used.

4. **Variation in Cash Reserves**:

The commercial Banks are also required to keep a fixed proportion of their total deposits in cash form, standing ready to honor the Checks of customers and to avoid solvency problem. By increasing this cash-reserve proportion, the central bank can limit the autonomy of the commercial banks to credit. However, the banks may not strictly follow the advice of the central bank in this case.

- ☐ These measures do not affect the quantity of money/ credit percent, rather these can redirect the flow of credit to particular purposes/ channels. These include:

1. **Moral Persuasion:**

The central bank can advise the commercial banks to follow either a loose or tight credit policy, i.e. to extend loans on easy terms for one purchase/time and on tight terms for some other purchase/time. However, the commercial banks are not obliged to follow such instructions very strictly. If this is the case, then credit rationing may be applied.

2. **Direct Action:**

The central bank may take a direct action in case the commercial banks do not respond to its instructions carefully. It may refuse to discount the bills of a particular bank or even may blacklist it /debar it from the business.

❖ Role of Central Bank in Economic Development:

The central bank in a developing country aims at the promotion and maintenance of a rising level of production, employment and real income in the country. The central banks in the majority of underdeveloped countries have been given wide powers to promote the growth of such economies. They, therefore, perform the following functions towards this end.

Creation and Expansion of Financial Institutions:

One of the aims of a central bank in an underdeveloped country is to improve its currency and credit system. More banks and financial institutions are required to be set up to provide larger credit facilities and to divert voluntary savings into productive channels. Financial institutions are localized in big cities in underdeveloped countries and provide credit facilities to estates, plantations, big industrial and commercial houses.

Proper Adjustment between Demand for and Supply of Money:

The central bank plays an important role in bringing about a proper adjustment between demand for and supply of money. An imbalance between the two is reflected in the price level. A shortage of money supply will inhibit growth while an excess of it will lead to inflation. As the economy develops, the demand for money is likely to go up due to gradual monetization of the non-monetized sector and the increase in agricultural and industrial production and prices.

A Suitable Interest Rate Policy:

In an underdeveloped country the interest rate structure stands at a very high level. There are also vast disparities between long-term and short-term interest rates and between interest rates in different sectors of the economy. The existence of high interest rates acts as an obstacle to the growth of both private and public investment, in an underdeveloped economy.

Debt Management:

Debt management is one of the important functions of the central bank in an underdeveloped country. It should aim at proper timing and issuing of government bonds, stabilizing their prices and minimizing the cost of servicing public debt. It is the central bank which undertakes the selling and buying of government bonds and making timely changes in the structure and composition of public debt.

Credit Control:

Central Bank should also aim at controlling credit in order to influence the patterns of investment and production in a developing economy. Its main objective is to control inflationary pressures arising in the process of development. This requires the use of both quantitative and qualitative methods of credit control.

The bank rate policy is also not so effective in controlling credit in LDCs due to:

- **A.** The lack of bills of discount;
- **B.** The narrow size of the bill market;
- **C.** A large non-monetized sector where barter transactions take place;
- **D.** The existence of a large unorganized money market;
- **E.** The existence of indigenous banks which do not discount bills with the central banks; and
- **F.** The habit of commercial banks to keep large cash reserves.

❖ Some Important Central Banks of the Worlds:

- Bangladesh → Bangladesh Bank
- Pakistan → State Bank of Pakistan
- India → Reserve Bank of India (RBI)
- Saudi Arabia → Saudi Central Bank (SAMA)
- UAE → Central Bank of the UAE
- Brunei → Autoriti Monetari Brunei Darussalam (AMBD)
- China → People's Bank of China (PBoC)
- Japan → Bank of Japan (BoJ)
- South Korea → Bank of Korea (BOK)
- France → Banque de France
- Spain → Banco de España
- Germany → Deutsche Bundesbank
- England (UK) → Bank of England (BoE)
- Switzerland → Swiss National Bank (SNB)
- USA → Federal Reserve System (The Fed)
- Canada → Bank of Canada
- Australia → Reserve Bank of Australia (RBA)

❖ The Islamic Development Bank:

(Arabic: البنك الإسلامي للتنمية abbreviated as IsDB) is a multilateral development finance institution that is focused on Islamic finance for infrastructure development and located in Jeddah, Saudi Arabia. There are 57 shareholding member states with the largest single shareholder being Saudi Arabia.

History:

It was founded in 1973 by the Finance Ministers at the first Organization of the Islamic Conference (now called the Organization of Islamic Cooperation) with the support of the King of Saudi Arabia at the time (Faisal), and began its activities on 3 April 1975.

On 22 May 2013, IsDB tripled its authorized capital to $150 billion to better serve Muslims in member and non-member countries. The Bank has received credit ratings of AAA from Standard & Poor's, Moody's, and Fitch. Saudi Arabia holds about one quarter of the bank's paid-up capital. The IDB is an observer at the United Nations General Assembly.

- ☐ **Ranked on the basis of paid-up capital (as of May 2024), major shareholders include:**

1. Saudi Arabia (22.5%)
2. Libya (9.03%)
3. Indonesia (7.94%)
4. Iran (7.90%)
5. Nigeria (7.33%)
6. Qatar (6.87%)
7. Egypt (6.77%)
8. Kuwait (6.62%)
9. United Arab Emirates (6.48%)
10. Turkey (6.17%)

Activities:

IDB Group is engaged in a wide range of specialized and integrated activities such as:

- Project financing in the public and private sectors;
- Development assistance for poverty alleviation;
- Technical assistance for capacity-building;
- Economic and trade cooperation among member countries;
- Trade financing;
- SME financing;
- Resource mobilization;
- Direct equity investment in Islamic financial institutions;
- Insurance and reinsurance coverage for investment and export credit;
- Research and training programs in Islamic economics and banking;
- Awqaf investment and financing;
- Special assistance and scholarships for member countries and Muslim communities in non-member countries;
- Emergency relief; and
- Advisory services for public and private entities in member countries.

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Chapter Nine: "Islamic Banking in Bangladesh"

Mosfiqur Rahman
(Lecturer of Finance & Economics)

❖ Origin and Historical Background of Establishing Islamic Banking in Bangladesh:

The establishment of Islamic banking in Bangladesh is deeply rooted in the socio-cultural and religious ethos of the country, where over 90% of the population is Muslim. The journey began after the independence of Bangladesh in 1971.

- **Early Initiatives (1970s - 1980s)**: The desire for an interest-free banking system consistent with Islamic principles (Shariah) was a long-standing demand. The first concrete step was taken in 1974 when Bangladesh signed the Charter of the Islamic Development Bank (IDB). However, the domestic banking sector remained conventional.
- **Foreign Experimentation:** In 1982, the Bangladesh government took a significant step by allowing foreign-owned banks to operate in the private sector. A year later, in 1983, Islami Bank Bangladesh Limited (IBBL) was established as the first interest-free bank in Southeast Asia. It was a joint venture with other Islamic organizations and banks from the Middle East, including the Islamic Development Bank (IDB) and the Dubai Islamic Bank.
- **Domestic Expansion:** The success of IBBL paved the way for other Islamic banks. Following its model, several full-fledged Islamic banks were established, such as Al-Arafah Islami Bank Ltd. (1995), Social Islami Bank Ltd. (1995), Export Import Bank of Bangladesh Ltd. (as a conventional bank converted in 2004), and others.
- **Islamic Windows:** Recognizing the popularity, the Bangladesh Bank (the central bank) also permitted conventional commercial banks to open dedicated "Islamic Banking Windows" or branches to offer Shariah-compliant products alongside their conventional services.

The driving forces behind this establishment were the religious sentiment of the masses, the global movement towards Islamic finance, and the need for a financial system that promoted equity and social justice

❖ Objectives of Islami Bank Bangladesh Limited (IBBL):

1. **Primary Shariah Objective: Establishing Interest-Free Banking:**
   - To conduct all banking and financial activities strictly in accordance with the principles of Islamic Shariah, eliminating the receipt and payment of interest (*Riba*) in any form.
   - To provide a viable and pure alternative to the conventional interest-based banking system.
2. **Socio-Economic Objectives:**
   - To Promote Socio-Economic Justice: To establish an equitable economic system through profit-sharing instead of pre-determined, fixed interest. This ensures justice for both the capital provider (the bank and its depositors) and the entrepreneur (the investment client).

- To Alleviate Poverty: To play an effective role in human development and poverty alleviation by extending financial services to the poorer and marginalized sections of society. This is achieved through various investment tools and its charity mechanisms (like the Shariah-based Zakat Management System).

- To Ensure Equitable Distribution of Wealth: To break the concentration of wealth in a few hands by channeling resources into broad-based investments and profit-sharing schemes, allowing a wider population to benefit from economic growth.

3. Economic & National Development Objectives:

- To Foster Balanced Economic Growth: To contribute to the balanced growth and development of the country by investing in all productive sectors, including agriculture, industry, foreign trade, and commerce, under Shariah principles.
- To Generate Employment: To create opportunities for gainful employment and self-employment through productive investments, particularly in small and medium enterprises (SMEs) and micro-enterprises.
- To Encourage Savings and Investment: To mobilize scattered savings from the public (especially from the religiously conscious segment) and channel them into productive, Shariah-compliant investments, thereby accelerating the capital formation process in the economy.

4. Commercial & Organizational Objectives:

- To be a modern, efficient, and competitive bank that provides high-quality financial products and services to its customers.
- To maintain financial stability and profitability to ensure a fair return for its shareholders and Mudaraba depositors.
- To expand its services through technological innovation and a widespread branch network, both within Bangladesh and internationally.

5. Humanitarian and Ethical Objectives:

- To promote Islamic ethics and values in all business dealings, emphasizing honesty, transparency, and social responsibility.
- To undertake humanitarian projects through its social welfare fund and Zakat fund, providing support for education, healthcare, and disaster relief.

❖ Functions, Roles, and Importance of IBBL:

Functions:

IBBL performs all the traditional functions of a commercial bank but in a Shariah-compliant manner. Its key functions are:

- Mobilizing Resources: Accepting deposits under various Shariah-compliant modes like Al-Wadeeah (current account), Mudaraba (savings and term deposits where profit is shared based on agreed ratios).

- Deploying Resources: Investing funds using Islamic modes like Murabaha (cost-plus sale), Musharaka (joint venture profit-loss sharing), Ijara (leasing), Bai-Muajjal (deferred payment sale), and Bai-Salam (advance payment for goods).
- Providing Services: Offering ancillary services like letters of guarantee, foreign exchange transactions (following Islamic FX rules), and other agency services without involving interest.

❖ Roles Of IBBL:

- Pioneer and Market Leader: IBBL has played the most crucial role in introducing, developing, and popularizing Islamic banking in Bangladesh.
- Financial Inclusion: It has significantly contributed to financial inclusion by attracting a large segment of the population who were previously reluctant to use conventional banks due to religious reasons.
- Rural Development: Through its extensive rural branch network and investment in agriculture and micro-enterprises, IBBL has played a vital role in rural development and poverty alleviation.
- Contributor to the Economy: As one of the largest private banks in the country, it contributes substantially to the national exchequer through taxes and drives economic activities through its investments.
- Human Resource Development: IBBL has created a skilled workforce knowledgeable in both banking and Islamic finance, setting a standard for the industry.

❖ Importance of IBBL

- The microcredit program of Islami Bank Bangladesh Limited, popularly known as the Rural Development Scheme (RDS), was introduced in 1995 with the aim of alleviating poverty and empowering the disadvantaged section of society. This program emerged as a response to the failure of inequitable economic growth and government-subsidized credit schemes, which were often captured by rural elites and failed to benefit the truly poor. IBBL designed its microcredit program on Shariah principles, avoiding interest and instead providing small, collateral-free investments to the rural poor, particularly landless farmers, fishermen, small artisans, petty traders, and women. The program seeks to break the “poverty trap” by giving the poor access to productive capital, enabling them to engage in income-generating activities, gradually increase their earnings, and eventually cross the poverty line. Unlike conventional credit schemes, IBBL’s microcredit emphasizes group-based financing, mutual accountability, regular savings, and social development alongside financial support. The program not only improves the economic condition of the beneficiaries but also enhances their social awareness in areas such as education, health, sanitation, and women’s empowerment. Over the years, it has contributed significantly to poverty alleviation, rural development, and financial inclusion, making it one of the most successful Islamic microfinance models in Bangladesh. However, challenges such as high administrative costs, loan default risks, and limited outreach remain, yet the overall impact of IBBL’s microcredit program is widely recognized as positive and transformative for rural communities

Rural Finance And development skill:

Rural finance and development skill in Islamic banking in Bangladesh play a crucial role in addressing poverty, unemployment, and underdevelopment in rural areas, where the majority of the population lives. Since independence, different rural credit programs were launched by government and NGOs, but most of them failed to achieve the desired outcomes because of corruption, interest-based lending, and the dominance of rural elites. Recognizing this gap, Islamic banking introduced Shariah-based rural finance programs, with Islami Bank Bangladesh Limited (IBBL) pioneering the most effective model through its Rural Development Scheme (RDS) in 1995. The aim of this program is not only to provide credit but also to promote skills, entrepreneurship, and socio-economic empowerment among the rural poor. Unlike conventional banks, Islamic rural finance avoids interest and instead provides collateral-free, small-scale investments to poor farmers, fishermen, artisans, petty traders, and women, enabling them to engage in productive activities and gradually escape from the “poverty trap.”

The development skill component of Islamic rural finance is equally important. IBBL’s RDS emphasizes building the capacity of beneficiaries by offering training, guidance, and close monitoring to ensure the proper use of funds. Beneficiaries are encouraged to develop savings habits, adopt modern farming methods, and engage in small business ventures. Women, in particular, receive special attention to enhance their skills in poultry, handicrafts, and small trade, which not only increases household income but also strengthens women’s role in family and community life. In addition, the program promotes awareness in areas such as health, education, sanitation, and religious values, ensuring holistic development rather than mere financial assistance.

Through rural finance and development skill programs, Islamic banks in Bangladesh have successfully combined financial inclusion with social development. They have helped millions of rural poor to access productive capital, improve their standard of living, and contribute to the national economy. Although challenges such as high operational costs, loan defaults, and limited coverage still exist, the model of Islamic rural finance remains one of the most effective tools for poverty alleviation in the country. By blending financial support with skill development and guided by Shariah principles, Islamic banking has established itself as a unique and sustainable approach to rural development in Bangladesh.

Welfare service of IBBL:

Welfare is a condition of having good health, comfortable living and pleasant working conditions (Hornby). Hence, it can be said that welfare services are those which ensure conditions of having good health, comfortable living and working conditions, which are generally one's basic needs.

The Quran also encourages people to contribute generously to social welfare and helping the needy in society. This is again clearly stated, "They will ask you as to what they should spend on others. Say (O Muhammad): whatever of your wealth you spend shall be for your parents, and for the near of kin, and the orphans and the needy and the wayfarer; and whatever good you do, verily, God has full knowledge thereof" [2: 215]. Thus, the Quran establishes the general principle of generous welfare spending while encouraging sacrificial levels of spending perhaps for social crises and for conditions demanding high financial support. Thus, Islam calls for the meeting of the basic needs of the poverty groups through welfare services, which might include –

A. Care for others   B. Zakat

A. Care for others:

Siddiqi (1995, pp.2-3) mentioned that care for others, or helping behavior, is another cardinal principle of Islamic economic behavior. It tempers the self-interest that is ingrained in human nature to ensure survival. It is a natural concomitant of trusteeship, since one serves the Master by caring for His people. The Prophet, peace be upon him, said: "Mankind are God's dependants, so the most beloved of people in the Sight of Allah are those who do good to His dependants." (Mishkat, Bab-al-Shafqah wa'l Rahmah 'ala'a-Khalq).

B. Zakat:

Zakat is one of the five pillars of Islam. In a broad sense, it is only for social welfare purposes as specified by the Quran: "The Zakat is (meant) only for the poor and the needy, those who collect the tax, those whose hearts are to be won over, for the freeing of human beings from bondage, for the relief of those overwhelmed by debts, for the cause of God (all priority social needs), and for the wayfarer: (this is) an ordinance from God and God is all-knowing, Wise"[9:60].

The Welfare Services of Islamic Banks Islamic banks, as a part of the Islamic economic system, are being operated with the objective to implement the economic and financial principles of Islam. "The objective of Islamic banking is not only to earn profit, but also to do good and bring welfare to the people" According to Islam, money, income and property belong to Allah and this wealth is to be used for the good of the society (IBBL 1995, p.7) It was mentioned earlier that welfare service might include (A) care for others and (B) Zakat. Islamic banks take care of others through Qard Hasan (benevolent loan) financing transactions. It also mobilizes Zakat resources.

Qard Hasan (benevolent loan):

Since interest on all kinds of loan is prohibited in Islam, a loan, which is to be given in accordance with the Islamic principle, has to be, by definition, a benevolent loan (Qard Hasan), i.e. a loan without interest. It has to be granted on the grounds of compassion; to remove the financial distresses caused by the absence of sufficient money in the face of dire need.

Mobilization of Zakah:

A pioneering experiment putting the principles of Islamic banking into practice was conducted in Mit-Ghamr in Egypt from 1963 to 1967, in which three types of accounts were operated. A Zakah account was one of them. The Zakah account attracted the stipulated amount of Zakah for redistribution amongst the poor (Ausaf Ahmed, op cit, p.21)

❖ Shariah Council:

Central Shariah Board for Islamic Banks of Bangladesh (CSBIB) is a national non-profitable corporate body of Islamic banks and Islamic banking branches/windows operating in Bangladesh. It is an organization registered by the government of the People's Republic of Bangladesh (Govt. Reg. No. S-9922 of 2009). Main objective of the CSBIB is to provide all-out cooperation and assistance to the government, central bank, regulatory authority and its member banks for the tracking right path to Islamic banking industry in the light of Islamic Shariah.

❖ Shariah Council of IBBL; Its Power and Functions:

The Shari'ah Supervisory Council of Islami Bank Bangladesh PLC (IBBPLC) plays a crucial role in formulating policies to ensure strict adherence to Shari'ah principles in all activities of the bank, particularly in investment portfolios. Comprising 10 members, including prominent Ulama with expertise in Fiqhul Muamalat, the Council operates in accordance with the Islamic Banking Guidelines issued by Bangladesh Bank. Established under Clause No, 123 of the Bank's Memorandum and Articles of Association, the Council is dedicated to fulfilling the bank's commitment to operate in compliance with Islamic Shari'ah.

The Shari'ah Supervisory Council provides guidance and opinions on all operational manuals, products, and contracts before their introduction. It also oversees Shari'ah audit and inspection activities to assess the level of Shari'ah compliance in the bank's operations.

Composition:

- The council is composed of renowned Islamic scholars, jurists, and economists well-versed in Islamic jurisprudence (Fiqh al-Muamalat) and modern finance.

Powers:

- Supreme Authority on Shariah Matters: The council has the ultimate authority to approve, reject, or modify any product, service, or transaction proposed by the bank.
- Audit and Inspection: It has the power to audit and inspect any aspect of the bank's operations to ensure Shariah compliance.
- Binding Decisions: Its decisions and directives are binding on the bank's management and board of directors.

Functions:

- Product Development and Approval: To scrutinize, research, and approve all new banking products, contracts, and investment schemes.
- Continuous Supervision: To monitor the ongoing operations and investments to ensure they are conducted as per the approved terms and Shariah principles.
- Problem Resolution: To resolve any Shariah-related disputes or issues that may arise between the bank and its clients.
- Guidance and Training: To provide guidance to the board and management on Shariah matters and to train bank employees on Islamic banking principles.
- Annual Shariah Report: To prepare an annual report on the bank's Shariah compliance for inclusion in the annual report, providing assurance to stakeholders

❖ Shariah bord Members of IBBL:

Mufti Sayeed Ahmad Mojaddidi
CHAIRMAN

Prof. Dr. Abu Bakr Rafique
VICE CHAIRMAN

Prof. Dr. Mohammad Abdus Samad
MEMBER SECRETARY

Prof. Dr. Mohammad Gias Uddin Talukder
MEMBER

Prof. Dr. Mohammad Monzur-E-Elahi
MEMBER

Moulana Mohiuddin Rabbani
MEMBER

Prof. Dr. Muhammad Saifullah Madani
MEMBER

Prof. Dr. Md. Shamsul Alam
MEMBER

Mufti Mohammad Muhibbullahil Baqee Nadwi
MEMBER

Prof. Dr. Zubair Mohammad Ehsanul Hoque
MEMBER

Mufti Sayeed Ahmad Mojaddidi (CHAIRMAN)

Mufti Sayeed Ahmed has been serving in the Shariah Supervisory Council (SSC) of IBBPLC since 2007. He was the Member of the committee since 1998. Additionally, he serves as the Chairman of the Shariah Supervisory Committee (SSC) of Al-Arafah Islami Bank, and holds the position of Vice Chairman of the SSC of both Global Islami Bank PLC and First Security Islami PLC. Additionally, he is a Member of the SSC of Social Islami Bank PLC and Fareast Islami Life Insurance Co. Limited. He is also the former Chairman of Social Islami Bank PLC. Furthermore, he holds a position as a Member of the Fiqh Committee of the Central Shariah Board of Islamic Banks of Bangladesh (CSBIB).
He is the Head Mufti of Al Jamiatus Siddikiah Darul Ulum (Madrasha-e-Furfura), Darus Salam, Dhaka, having 38 years of teaching experience.
Mufti Ahmad completed Daora-e-Hadith (1st class) from Madrasatul Hadith wal Fiqh, Tundla, India. He is the author of five books. With an impeccable track record in social, economic, and financial dealings, he has proven himself in various capacities.
Mufti Ahmed has visited the Kingdom of Saudi Arabia and India.

❖ Financing Mechanism of Islamic Banks:

Islamic banks use various profit-and-loss sharing (PLS) and trade-based contracts instead of interest-based lending. The primary mechanisms are:

- **Mudaraba:**
  A trustee-type partnership where one party provides the capital (Rabb-ul-Mal, the bank) and the other provides expertise and management (Mudarib, the entrepreneur). Profits are shared as per a pre-agreed ratio, while financial losses are borne only by the capital provider.
- **Musharaka:**
  A true joint venture partnership where all partners contribute capital and/or management. Profits are shared as per a pre-agreed ratio, and losses are shared in proportion to their capital contribution.
- **Murabaha:**
  A cost-plus sale. The bank, at the client's request, purchases an asset and sells it to the client at a disclosed cost plus an agreed-upon profit margin, with payment being either immediate or deferred.
- **Ijara (Leasing):**
  The bank buys and leases out an asset or equipment to a client for a specific rental fee. Ijara Wa Iqtina (lease ending with ownership) is similar to a finance lease.
- **Bai-Muajjal:**
  A deferred payment sale. Goods are delivered immediately, but the price is paid in installments over a fixed period.
- **Bai-Salam:**
  An advance payment sale. The price is paid in full at the time of contract for goods to be delivered at a future date. This is often used for agricultural financing.
- **Quard al-Hasanah:**
  A benevolent, interest-free loan given for welfare purposes or to needy clients. The bank only expects the principal amount back.

❖ Problems Confronting Islamic Banking in Bangladesh:

Despite its success, the Islamic banking sector in Bangladesh faces several challenges:

1.Liquidity Management Problem:

- Bangladesh lacks sufficient Shariah-compliant liquidity instruments.
- Islamic banks cannot invest surplus funds in government T-bills or bonds since they are interest-based.
- Absence of an Islamic inter-bank money market worsens the problem.

2.Valuation of Assets:

- Islamic banking assets (Murabaha, Musharaka, Ijara) are asset-based and difficult to value compared to conventional loans.
- Fluctuations in market prices create problems in fair valuation.

3.Limited Credit Creation:

- Islamic banks face difficulties integrating with the national monetary policy.
- Since they cannot use interest-based credit expansion tools, their contribution to credit creation is limited.

4.Dependence on Mark-up Financing (Murabaha):

- Most Islamic banks in Bangladesh rely heavily on Murabaha and Bai-Muajjal (mark-up sale), which reduces risk-sharing and makes them look similar to conventional banks.

5.Weak Legal and Regulatory Framework:

- Bangladesh Bank follows conventional banking laws.
- No separate Islamic Banking Act has been passed yet, so legal disputes are settled under interest-based frameworks.

6.Shortage of Shariah-Compliant Instruments:

- Few Islamic bonds (Sukuk) or hedging tools are available in Bangladesh.
- This restricts long-term investment opportunities.

7.Absence of Islamic Insurance (Takaful):

- Islamic banks face risk-management problems because of the limited number of Islamic insurance (Takaful) companies in the country.

8.Lack of Skilled Manpower:

- Properly trained Islamic banking professionals are limited.
- Many bankers lack deep knowledge of Fiqh al-Muamalat (Islamic commercial jurisprudence).

9.Low Level of Cooperation Among Islamic Banks:

- Coordination in liquidity management, training, and policy-making is weak.
- Each bank operates individually without strong collaboration.

10. Government Financing Problem:

- Government borrowing is almost entirely based on interest-bearing instruments.
- Islamic banks cannot participate in financing government projects effectively.

11. Profit Distribution Challenges:

- Sometimes disputes arise between depositors and banks over calculation and distribution of profit in Mudaraba accounts.
- Depositors often compare returns with conventional banks and feel dissatisfied.

12. High Operational Costs:

- Maintaining Shariah boards, fatwa committees, and legal audits increases the cost of doing business.

13. Limited Public Awareness:

- Many clients think Islamic banking is only a “name change” of conventional banking.
- Lack of knowledge and confidence reduces customer loyalty.

Chapter Ten: “Islamic Insurance”

Mosfiqur Rahman
(Lecturer of Finance & Economics)

❖ Definition of Islamic Insurance (Takaful):

Takaful is a type of Islamic insurance wherein members contribute money into a pool system to guarantee each other against loss or damage. Takaful-branded insurance is based on sharia or Islamic religious law, which explains how individuals are responsible to cooperate and protect one another. Takaful policies cover health, life, and general insurance needs.

Takaful insurance companies were introduced as an alternative to those in the commercial insurance industry, which are believed to go against Islamic restrictions on Riba (interest), al maisir (gambling), and al-gharar (uncertainty) principles—all of which are outlawed in sharia.

❖ Types of Takaful (Islamic Insurance):

Takaful models can be categorized based on their underlying contract and the line of business.

A) Based on the Contractual Model:

1) **Mudarabah Model**: The participants (Takaful members) are the capital providers (Rabb-ul-Mal), and the Takaful Operator (TO) is the manager (Mudarib). The participants contribute to the fund, and profits from investing the fund are shared between the participants and the TO according to a pre-agreed ratio. Any underwriting surplus (after covering claims and reserves) belongs solely to the participants. The TO's fee is its share of the investment profit. This model is less common today due to challenges in managing deficits.

2) **Wakalah Model**: The participants appoint the Takaful Operator as their agent (Wakil) to manage the Takaful fund for a defined, pre-agreed fee (Wakalah fee). This fee covers the TO's administrative and operational costs. Any investment profit goes entirely to the participants' fund. The underwriting surplus is also returned to the participants. This is the most prevalent model today due to its clarity and simplicity.

3) **Hybrid Model (Wakalah-Mudarabah):** This combines both models. The TO charges a Wakalah fee to cover its administrative expenses. Any profit from investing the Takaful fund is then shared between the participants and the TO based on a pre-agreed Mudarabah ratio. This model incentivizes the TO to perform well in its investment activities.

4) **Waqf Model:** A more recent model where the Takaful fund is treated as a charitable endowment (Waqf). Participants make contributions as a donation to this endowment, which is then used to pay claims to any member who suffers a loss. The TO manages the Waqf fund for a fee. This model strengthens the concept of Tabarru'.

B) Based on the Line of Business:

1. **Family Takaful (Islamic Life Insurance):** Provides long-term coverage for death, disability, and savings. It combines protection with a savings element, where participants receive a payout upon maturity or to beneficiaries upon death. It is not a life "insurance" but a family protection and savings plan.
2. **General Takaful (Non-Life Insurance):** Provides short-term coverage for property, liability, motor, fire, marine, and other general risks. It operates on a pure risk-sharing basis, and any surplus is typically redistributed to participants.

❖ Importance of Takaful:

- Shariah Compliance: It fulfills the Muslim community's need for financial protection without engaging in prohibited elements like Riba and Gharar.
- Promotes Solidarity and Cooperation: It embodies the Islamic principles of Ta'awun (mutual cooperation) and bearing one another's burdens, fostering a sense of community.
- Ethical Investments: The Takaful fund is invested in Shariah-compliant sectors, avoiding industries like alcohol, gambling, pornography, and conventional interest-based finance. This promotes ethical and socially responsible investing.
- Economic Development: It mobilizes savings and channels them into productive, halal sectors of the economy, contributing to sustainable development.
- Transparency and Fairness: The clear profit-sharing and fee structures promote transparency. The concept of returning underwriting surplus to participants is inherently fairer than it being retained by shareholders in a conventional model.

❖ Differences between Takaful and Conventional Insurance:

- The conventional insurance is a contract between two parties whereas takaful is a relationship in which everything is shared.
- In insurance, everything is planned according to the profit that each party will earn, however, earning profits is not the major purpose of takaful concept.
- In takaful, both parties will equally divide the burden whereas in insurance one party will take the risks for other.
- In insurance, there is no guarantee that whether you will get the help when required or not. In takaful, every procedure is guaranteed.
- Takaful is based on the sharia in Islam whereas insurance follows the rules formulated consider profit in mind.
- Number of policies that you have to buy for protection are usually lesser if compared with conventional insurance policies.
- Takaful will cover you for every major and minor loss whereas in conventional insurance you will be covered for certain emergencies.

❖ Problems of Conventional Insurance from an Islamic Perspective:

The primary reason for the development of Takaful is the prohibition of key elements found in conventional insurance:

- Al-Gharar (Excessive Uncertainty): The conventional insurance contract contains excessive uncertainty. The policyholder pays a premium but does not know if they will receive a claim payment, or how much they will receive. This uncertainty in the contract's essential terms is forbidden in Islam.
- Al-Maysir (Gambling): Due to the presence of Gharar, the contract resembles gambling. The policyholder bets a small premium (hoping for a large claim payout), while the company bets on the event not occurring. This speculative element is prohibited.
- Riba (Interest): Conventional insurance companies heavily invest premiums in interest-bearing instruments (bonds, loans, etc.). Both paying and receiving interest are strictly prohibited in Islam.
- Un-Islamic Investments: Premiums are often invested in businesses that are haram (forbidden) in Islam, such as breweries, casinos, and conventional financial institutions. A Muslim's wealth should not be used to support such industries

❖ Application of Al-Mudarabah in Islamic Insurance:

The Mudarabah model is one of the foundational structures for Takaful operations. Its application is as follows:

A. The Parties:

- Capital Provider (Rabb-ul-Mal): The participants (policyholders) who contribute the capital (Takaful contributions) into the common fund.
- Manager (Mudarib): The Takaful Operator (TO) who provides the expertise, management, and administrative work to run the Takaful business.

B. The Agreement:

- Participants agree to contribute to the fund based on the principle of Tabarru' (donation) for the purpose of mutual help.
- The TO agrees to manage the fund, assess risks, collect contributions, invest the funds, and process claims.
- They agree on a fixed profit-sharing ratio (e.g., 60:40, 70:30) for any investment profit generated from the Takaful fund. The TO does not receive a fixed fee but a share of the profits.
- Any underwriting surplus (contributions minus claims and operational costs) belongs entirely to the participants and is not shared with the TO.

C. **Risk and Loss:**

- Financial loss from claims is borne solely by the participants' fund. If the fund is insufficient, the TO may provide an interest-free loan (Qard Hasan) to cover the deficit, which is later repaid by the future surpluses of the fund.

- The TO loses its effort and time (its work is in vain) if no profit is made, aligning its incentive with the performance of the fund.

  - **Example:**
    A group of 1,000 participants contribute $1,000 each to a General Takaful (motor) fund, creating a $1,000,000 pool. The TO operates on a 60/40 Mudarabah ratio (60% to participants, 40% to TO). In a year:

    - Claims paid: $600,000
    - Operational costs: $100,000 (borne by the TO's potential profit share)
    - Underwriting Surplus: $1,000,000 - $600,000 = $400,000. This is returned to participants.
    - Investment Profit (from investing the fund): $50,000.
    - This $50,000 is shared: $30,000 (60%) is added to the participants' fund; $20,000 (40%) is the fee for the Takaful Operator.

  - While the pure Mudarabah model is conceptually pure, its complexity in managing risks and deficits has led many operators to adopt the more straightforward Wakalah or hybrid models. However, Mudarabah remains a critical concept that underpins the profit-sharing ethos of Islamic finance.

…………THE END…………